IN THE NATIONAL COMPANY LAW TRIBUNAL,
DIVISION BENCH - I, CHENNAI

CA/1059/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement*

Between

M/s. THANJAVUR SPINNING MILL LIMITED

... Applicant Company

And

Their Shareholders

Order Pronounced on 31st January, 2020

CORAM

R. VARADHARAJAN, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Counsel

ORDER

Per: **R. VARADHARAJAN, MEMBER (JUDICIAL)**

1. This application has been filed by the Company, namely **M/s. Thanjavur Spinning Mill Limited** under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the applicant. The

said Scheme is also annexed as Annexure "A4" to the application. The Applicant Company in this Company Application has sought for the following reliefs:

> *a) It is prayed that necessary directions may be given for **convening, holding and conducting of meeting** of the **Equity Shareholders** of the Applicant Company and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.*
>
> *b) It is prayed to **grant dispensation of the meetings of 9% Cumulative Redeemable Preference Shareholders** of the Applicant Company and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.*
>
> *c) It is prayed to **grant dispensation of the meetings of 9% Cumulative Optionally Convertible Redeemable Preference Shareholders** of the Applicant Company and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.*
>
> *d) It is prayed to **grant dispensation of the meetings of the Unsecured Creditors** of the Applicant Company and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.*
>
> *c) It is prayed that notices to the statutory authorities may be ordered by this Hon'ble Tribunal as per the provisions of section 230 (5) of the Companies Act 2013 and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.*

2. An affidavit in support of the above application is sworn for and behalf of the Applicant Company by one S.

Kanthimathinathan, in the capacity as Director of the Applicant Company filed along with the application and it is also represented that the Registered office of the Applicant Company is situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

3. The Applicant Company through this Scheme of Arrangement contemplates the following;

a) To reduce the issued, subscribed and paid up capital of the Company held by the shareholders which shall be subject to the Election Option exercised by the Shareholders of the Company as provided in the Scheme;

b) Upon the reduction and cancellation of the said paid up capital of the Company subject to the Election Option, each of the shareholders shall receive an amount of Rs.10/- for every equity share held in the Company;

c) The equity shareholders shall have an option of exiting the Company by receiving cash payment at the price of Rs.10/- for every equity share held pursuant to the Scheme. If the shareholders desire to choose the exit option by receiving cash payment, the said shareholders would have to communicate his / her intention of "exit option" within the prescribed date of shareholders meeting directed by the Tribunal under Section 230 of

the Act. In the event of the shareholders opting for retaining of their holdings or failing to communicate either of the options, it shall be deemed that the Shareholders wish to retain their equity shares in the Company. The Cash payment made by the Company to the equity shareholders who opted for "exit option" shall be considered as the full and final settlement for the investment made by the shareholders and there shall be no further claims or dues payable by the Company.

d) To Redeem the Cumulative Redeemable Preference Share and the Cumulative Optionally Convertible Redeemable Preference Share and payment of outstanding Preference Dividend to the Preference Shareholders in accordance with the terms of issue without creating Capital Redemption Reserve Account.

4. Upon a query raised by this Tribunal that whether the present Scheme contemplated between the Petitioner Companies would fall within the ambit of Section 230 of the Companies Act, 2013, the Learned Counsel for the Petitioner relied upon the Judgment of the Hon'ble NCLAT in **R Systems International Limited** in *Company Appeal (AT) No. 416 of 2017* and submitted that the Scheme is a restructuring exercise which squarely falls under the Explanation to Section 230 of the Companies Act, 2013. Further reliance was also placed upon the decision rendered by High Court of Andhra Pradesh **In Re: SJK Steel Plant Limited**

MANU/AP/0988/2007, wherein under para 10, it has held as follows;

> 10. The preliminary question is whether a scheme of arrangement proposed by the Company cannot be sanctioned under Section 391 and 392 read with Section 100 of the Act. In the opinion of this Court, the question is no more *res integra* by reason of the decision of Supreme Court in **Miheer H. Mafatlal –Vs– Mafatlal Industries Ltd.**; AIR 1997 SC 506

5. In relation to the Applicant Company, in the Scheme marked as Annexure "A4", it is represented that it is having 1214 (One Thousand Two Hundred and Fourteen) Equity Shareholders who have sought for a direction for holding a meeting. It is represented by the Counsel for Applicant that the Applicant Company has NIL Secured Creditor and 1 (One) Unsecured Creditor and based upon the consent Affidavit given by the said Unsecured Creditor, he has sought for a dispensation of the meeting. The Certificate issued by the Independent Chartered Accountant to this effect is also filed with the typed set. It is further represented that the Applicant Company has 1 (one) 9% Cumulative Redeemable Preference Shareholder and 4 (Four) 9% Cumulative Optionally Convertible Redeemable Preference Shareholders and based upon the consent Affidavit given by them, has sought for a dispensation of the meeting. The Certificate issued by the

Independent Chartered Account to this effect is also filed along with the typed set.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the applicant company.

7. Upon perusal of the records, in relation to the Consent Affidavits obtained from the Unsecured Creditors, 9% Cumulative Redeemable Preference Shareholder and 9% Cumulative Optionally Convertible Redeemable Preference Shareholder, it is noted that the same has been filed on a Plain paper and not on a Non – Judicial Stamp paper. This Tribunal in the matter of **M/s. Kumaran Wind Energy Private Limited** passed in *CA/1209/CAA/2019* dated 20.12.2019, has discussed in detail the requisition of stamp paper in filing of consent affidavit before this Tribunal. Since the consent affidavit obtained from the respective shareholders / creditors are not in proper format, we are not inclined to grant for dispensation of the meeting as sought for.

8. From the certificate of incorporation filed, it is evident that Applicant Company was incorporated under the provisions of Companies Act, 1956 on 9th June 1961, with Registrar of Companies, Tamil Nadu under the name and style of

"Thanjavur Textile Limited" and subsequently changed its name to "Thanjavur Spinning Mill Limited". The Authorized Capital and Issued, Subscribed & Paid up Capital of the Applicant Company is as follows;

Particulars	Amount (INR)
Authorized Capital	
70,00,000 Equity Shares of Rs.10/- each	7,00,00,000
2,50,000 9% Cumulative Redeemable Preference Shares of Rs.10/- each	25,00,00,000
40,00,000 9% Cumulative Optionally Convertible Redeemable Preference Shares of Rs.10/- each	4,00,00,000
Total	**36,00,00,000**
Issued, Subscribed & Paid up Capital	
27,00,000 Equity Shares of Rs.10/- each	2,70,00,000/-
2,50,000 9% Cumulative Redeemable Preference Shares of Rs.10/- each	25,00,00,000
20,00,000 9% Cumulative Optionally Convertible Redeemable Preference Shares of Rs.10/- each	2,00,00,000
Total	**29,70,00,000**

9. The Applicant Company has filed its Memorandum and Articles of Association *inter alia* delineating their object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2019.

10. The Board of Directors of the Applicant company vide meeting held on 28th May 2019 has unanimously approved the proposed Scheme as contemplated above and copies of

resolutions passed thereon have been placed on record by the companies, which are annexed as Annexure "A3".

11. The Appointed date as specified in the Scheme is 1st April, 2019 subject to the directions of this Tribunal.

12. The Statutory Auditors of the Applicant Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards is in compliance with Section 133 of the Companies Act, 2013. The Certificate issued by the Statutory Auditor is annexed as Annexure "A6".

13. Taking into consideration the application filed by the Applicant Company and the documents filed therewith, this Tribunal propose to issue the following directions including issue of notices by way of paper publication as follows: -

A) IN RELATION TO THE APPLICANT COMPANY:

(i) **With respect to Equity shareholders:**

Meeting of the Equity Shareholders of the Applicant Company is directed to be held at **10:00 AM** on **7th March 2020** at the Registered office of the Applicant Company or if not convenient at any other suitable place for which prior approval shall be sought from this

Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(ii) **With respect to Secured Creditors:**

It is represented by the Applicant Company that there are NIL Secured Creditor and hence the necessity of convening a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditor of the Applicant Company is directed to be held at **11:00 AM** on **7th March 2020** at the Registered office of the Applicant Company or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(iv) **With respect to 9% Cumulative Optionally Convertible Redeemable Preference Shareholders:**

Meeting of the 9% Cumulative Optionally Convertible Redeemable Preference Shareholders of the Applicant Company is directed to be held at **12:00 PM** on **7th March 2020** at the Registered office of the Applicant Company or if not convenient at any other suitable place for which prior approval shall be sought from this

Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(v) **With respect to 9% Cumulative Redeemable Preference Shareholders:**

Meeting of the 9% Cumulative Redeemable Preference Shareholders of the Applicant Company is directed to be held at **1:00 PM** on **7th March 2020** at the Registered office of the Applicant Company or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

14. The quorum for the meetings of the Applicant Company shall be as follows;

Class	Quorum
Equity Shareholders	50
Unsecured Creditor	1
9% Cumulative Optionally Convertible Redeemable Preference Shareholders	1
9% Cumulative Redeemable Preference Shareholders	1

i) The Chairperson appointed for the above said meeting shall be **K. Gowtham Kumar**, Advocate *(Mob. No:- +91 - 9840667863)* and the alternate chairperson appointed for the above said meeting

shall be the Director of the Applicant Company, who have sworn in affidavit on behalf of the Applicant Company. The fee of the Chairperson for the aforesaid meetings shall be ₹50,000/- (consolidated) in addition to meeting his incidental expenses.

ii) **Geetha Sridhar,** *PCS (Mob. No. +91-9500071967)* is appointed as a Scrutinizer and would be entitled to fee of ₹25,000/- (consolidated) for services in addition to meeting incidental expenses. The Chairperson(s) will file the reports of the meetings within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meetings of the Applicant Company is not present at the meetings, then the meetings shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the

registered office of the applicant company at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant company to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

v) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"Business Line"* (All India Edition), and *"Maalai Chudar"* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vi) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as afore stated be responsible to report the result of the meeting within a period of 7 days of the conclusion of the meeting with details of voting on the proposed scheme.

vii) The company shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, as well

as other Sectoral regulators who may have significant bearing on the operation of the applicant company or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

viii) The applicant company shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

ix) The Authorized Representative of the Applicant Company shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

x) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies

(Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

15. The Application stands **allowed** on the aforesaid terms.

-SD-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-SD-
(R.VARADHARAJAN)
MEMBER (JUDICIAL)

Raymond